

mentioned that buying, selling and trading of cryptocurrencies was prohibited. The government just wanted to build the environment towards a healthy crypto ecosystem by eradicating use of crypto for financing illegal activities.

Fast forward this scenario to 2020, many countries across the globe like the USA and Singapore had regulated crypto. They wanted the Indian counterparts to rethink their decisions and move forward with the same. The intervention of the Supreme court of India retracted the circular of the RBI issued in 2018. This led banks across India to resume transactions with cryptocurrency exchanges. Post this decision, many new investors and the youth started a crypto wave across the country. Crypto made its mark as a suitable option for an individual's investment portfolio. There was a boost of adoption among crypto users, which led the government into drafting a new bill concerning cryptocurrency.

The government also acknowledged blockchain technology and the potential for growth for the Indian fintech market. The finance minister, Nirmala Sitharaman, also cleared the air around the regulations and said that India is developing a set of guidelines for cryptocurrencies. India already has a startup ecosystem booming around the field of cryptocurrencies with major players in the space like CoinSwitch Kuber, WazirX and Mundrex. The country cannot afford to lag behind in this market as the industry expects a surge of new users into this space.

Cryptocurrency as a legal tender?

If cryptocurrency becomes a legal tender, then users can pay their bills using crypto coins. However, this seems like an unlikely decision by the government. Some companies have started accepting payments in terms of cryptocurrencies based on the own will of the customer and cannot be forced. Countries like China have planned out ideas of launching Central Bank digital currencies (CBDCs) based on a similar technology stack as traditional cryptocurrencies. But will be recognised and backed by the country's central bank.

How to invest in cryptocurrencies in India?

The process of trading in cryptocurrencies takes place through a cryptocurrency exchange.

The top crypto exchanges for the Indian market are:

1. WazirX
2. CoinDCX
3. CoinSwitch Kuber